Pakistan International Airlines

Historic Privatization

December 2025 - A New Era Begins

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Executive Summary

Rs135 Billion Deal - Pakistan's largest privatization

75% Stake sold to Arif Habib Consortium

Rs660 Billion Debt removed

New Chapter - End of interference

A Decade of Losses

The sale of PIA is neither a national tragedy nor a triumphant reform. It is a calculated gamble taken after years of mis-governance left no alternatives. Pakistan has sold control of its flag carrier not because it wanted to but because it had exhausted every other option. (https://www.brecorder.com/news/40399340)

Peak Loss

Rs108B

FY2022-23

Total Losses

Rs500B

2015-2024

Negative Equity

-Rs649B

Mid-2023

The Balance Sheet Overhaul

BEFORE (2022)

Assets: Rs800+ billion

Liabilities: Rs800+ billion

Equity: -Rs375B

Finance Costs: Rs79B/year

AFTER (2023)

Assets: Rs191 billion

Liabilities: Rs182 billion

Equity: +Rs9B

Finance Costs: Rs10B/year

Rs660 Billion carved out to PIA Holding Company

Workforce Challenge

PIA	Emirates	Air India	Turkish
397	**232**	**108**	**63**
emp/aircraft	emp/aircraft	emp/aircraft	emp/aircraft

~7,000 employees | 12-month retention

Route Profitability Analysis

✓ Profitable Routes

- **Middle East:** Dubai, Jeddah, Medina
- **UK:** London, Manchester
- **Domestic:** Key trunk routes

⚡ High Potential

- New York, Toronto
- Paris, Frankfurt

✗ Loss- Making (Cut)

- Dhaka (Bangladesh)
- Bangkok (Thailand)
- Najaf (Iraq)
- Secondary cities

170 Landing Slots

Prime airports globally

Why Privatize? The Drivers

💰 Fiscal Burden

Rs40 billion annual losses draining public finances

🌍 IMF Mandate

Structural benchmark under $7 billion IMF program

⚠️ Political Interference

Decades of mismanagement, nepotism, and cronyism

✈️ Strategic Necessity

Pakistan needs a viable, competitive flag carrier

The Deal Structure

Transaction Value

Rs135B

For 75% stake

Government Retains

25%

Minority stake

Payment Breakdown

Cash to Government

Rs10.2B

Only 7.5%

Investment into PIA

Rs124.8B

92.5% reinvested

The Winning Consortium

Arif Habib Consortium

Lead: Arif Habib Corporation

(Finance & Investment)

Partner: Fatima Fertilizer

(Major Manufacturer)

Partner: City Schools

(Education Group)

Partner: Lake City Holdings

(Real Estate)

Winning Bid

Rs135B

Runner-up

Rs134B

Lucky Cement

Auction Date

Dec 23, 2025

Live on TV

Investment & Incentives

Capital Commitments

5-Year Investment

Rs116B

For fleet renewal

Phase 1: Rs83.25B upfront

Phase 2: Rs41.6B in 12 months

Target: 8-10 new aircraft

Government Incentives

- **15 years** tax exemption on dividends
- **No new taxes** on aviation fuel
- **GST/duty exemptions** on aircraft
- **Tax:** Rs26.6B over 5 years

Financial Close: March-April 2026

Future Outlook

✈️ Fleet Modernization

New aircraft for Europe & North America routes

🌍 Route Expansion

Restore London, explore New York, add China flights

📊 Efficiency Gains

Reduce employee-to-aircraft ratio to <200

⭐ Service Quality

Professional management, improved customer experience

Target: Return to Profitability

Within 2-3 Years

" Pakistan' s Air India Moment"

✓ Clean balance sheet with Rs660B debt removed

✓ Fresh capital: Rs125B for transformation

✓ End of political interference

✓ Opportunity to restore national pride

Success depends on execution and commitment